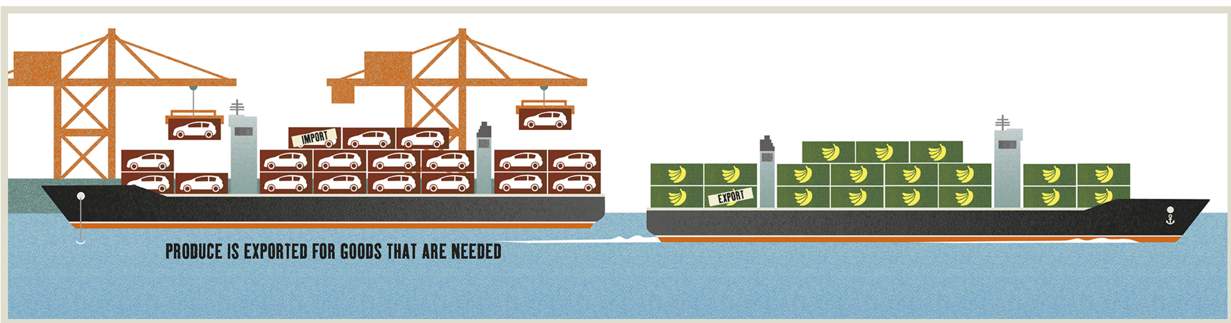
What’s needed where

Within a country, there is trade between the producers of different kinds of goods, to ensure that they are distributed to where they are needed. For example, people need to have food transported into towns and cities from farming areas, and those living in the country require manufactured goods produced in industrial areas. The same is true across the world. Some countries, for example, have the right climate for growing certain crops, while others have different natural resources such as oil or minerals, or have developed a skill in making certain kinds of goods. By trading with one another, countries exchange goods they produce for those that they need. This kind of international trade began with ancient civilizations and became an important part of many countries’ economies as trade routes were established to transport goods around the world. Before the Industrial Revolution, major businesses were run by merchants, international traders, rather than producers of goods.



Food for goods
If a country is good at farming but not at manufacturing, it may produce enough food to feed its own people and to export to other countries, and choose to import goods such as cars.

Play to your strengths

Since the growth of manufacturing industries, international trade has continued to play an essential part of every country’s economy. In most cases, it is practically impossible for a country to be entirely self-sufficient, as it may not have the resources to produce some of the goods that its people need. These have to be imported from elsewhere, in exchange for money, or goods